

COLLECTION · LIFE SITUATIONS

Helping Your Child Buy a Home

*Gift, loan or co-signing — support them without
putting yourself at risk*

READ BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It offers general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. As every real estate situation is different, it is recommended that you consult the appropriate professionals before making any decision regarding a real estate transaction.

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Helping Your Child Buy a Home

Gift, loan or co-signing — support them without putting yourself at risk

More and more parents help their child get into homeownership. It's a lovely gesture — one that deserves to be structured to protect everyone. Gift, loan, co-signing: each option has its implications.

This guide compares the ways to help, their advantages and their risks, and how to protect yourself.

Informational content, not legal or tax advice: consult a notary and an accountant. Each chapter ends with a lined “My notes” page.

More and more parents help their child get into homeownership. This lovely gesture deserves to be structured. This guide compares the ways to help — gift, family loan, co-signing — their advantages, their risks, and how to protect yourself.

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CHAPTER

The gift for the down payment

Understanding the simplest option.

Gifting a sum for the down payment is common and **accepted by lenders**, provided you supply a **gift letter** confirming it isn't a repayable loan.

It's simple, but the money given is no longer yours. Two points of vigilance:

- Consider **fairness** among your children (if you have several).
- Think about the impact on your own retirement finances.

The down-payment gift is common and accepted by lenders, with a gift letter confirming it isn't repayable. Simple, but the money given is no longer yours: consider fairness among your children and the impact on your finances. Never empty your retirement cushion to help.

EMILIE'S TIP

Never empty your retirement cushion to help a child. A generous gift that weakens you helps no one in the long run: help within what you can truly afford.

CHAPTER

The family loan

Lending rather than giving, cleanly.

You can **lend** rather than give to your child. In that case, put the terms **in writing**: amount, repayment, possible interest.

Careful: a loan to be repaid can **affect the child's borrowing capacity** and must be disclosed to the lender.

A poorly documented family loan is a classic source of misunderstandings: clarity protects the relationship.

You can lend rather than give: in that case, put the terms in writing (amount, repayment, possible interest). Careful, a loan to be repaid can reduce the child's borrowing capacity and must be disclosed to the lender. A poorly documented family loan is a classic source of misunderstandings.

EMILIE'S TIP

Put the family loan on paper, even between parent and child. A simple document specifying “who owes how much, repaid how” avoids years of unspoken resentment.

CHAPTER

Co-signing: helping without giving money

Understanding a co-signer's real commitment.

By **co-signing** the mortgage, you help your child qualify thanks to your income and your credit. But the commitment is real:

- You become **responsible for the debt**.
- If the child doesn't pay, the lender can turn to you.
- It appears in your credit file and affects your own borrowing capacity.

Co-signing isn't a mere courtesy signature: it's a full-fledged financial commitment.

By co-signing the mortgage, you help the child qualify thanks to your income and your credit — but you become responsible for the debt. If they don't pay, the lender turns to you, and it affects your own borrowing capacity. Only co-sign if you can truly bear it.

EMILIE'S TIP

Never co-sign “just to help” without understanding that you're committing to the entire debt. If the child stops paying, it's you the bank will call. Sign only if you can bear it.

CHAPTER

Protecting yourself while helping

Helping in a way that protects everyone.

Helping your child is a lovely gesture — one that deserves to be **structured**. A few reflexes protect the child *and* you:

- **Document** systematically (gift letter or loan contract).
- Consult a **notary** and an **accountant** on the legal and tax implications.
- Plan for the case where the child's couple separates (especially if they buy together).

It's not a lack of trust: it's protecting the family relationship.

Helping deserves to be structured to protect everyone: document systematically (gift letter or loan contract), consult a notary and an accountant, and plan for the case where the child's couple separates (especially if they buy together). An agreement can protect the sum given.

EMILIE'S TIP

If your child buys as a couple, think about what happens to your gift in the event of a separation. An agreement between partners can protect the sum you gave. The notary can guide you.

CHAPTER

Choosing the right form of help

Deciding with full knowledge.

Gift, loan, co-signing: each option has its logic. To choose:

1. **Clarify** the form of help envisaged and your real capacity.
2. Assess the **impact** on your own finances.
3. **Document** it all (gift letter or loan contract).
4. **Consult** a notary/accountant before committing.

Good help is the kind that moves the child forward without putting you at risk.

Gift, loan, co-signing: each option has its logic. To choose, clarify the form envisaged and your real capacity, assess the impact on your finances, document it, and consult before committing. Good help moves the child forward without putting you at risk.

EMILIE'S TIP

There's no universal "best" option: it all depends on your situation. What matters is choosing with full knowledge, in writing, rather than on a whim.

IN PRACTICE

Action plan

Your next steps, concretely.

This week

1. Clarify the form of help envisaged (gift, loan, co-signing).
2. Assess the impact on my own finances.

Within 30 days

1. Document the help (gift letter or loan contract).
2. Consult a notary/accountant on the implications.

Next

1. Help in a way that protects the child AND myself.

Before helping

1. Clarify the form of help and assess the impact on my own finances.
2. Document (gift letter or contract) and consult a notary/accountant.

REFERENCES

Resources & glossary

- Gift letter: a document confirming that a gift isn't repayable.
 - Family loan: repayable help, to be documented in writing.
 - Co-signing: the parent's legal commitment on the child's mortgage.
 - Borrowing capacity: affected by a loan to be repaid or a co-signing.
 - Fairness among children: to consider when you help a single child.
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- Gift letter: a document confirming that a gift isn't repayable.
 - Family loan: repayable help, to be documented in writing.
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GOING FURTHER

Quiz — test your knowledge

1. The down-payment gift requires:

- A) Nothing
- B) A gift letter confirming it isn't repayable
- C) A notary only
- D) Repayment

2. When helping a child, you must not:

- A) Document the help
- B) Empty your retirement cushion
- C) Consult a pro
- D) Think about fairness

3. A family loan must be:

- A) Verbal
- B) Put in writing (amount, repayment, interest)
- C) Secret
- D) Hidden from the lender

4. A loan to be repaid can:

- A) Increase borrowing capacity
- B) Affect the child's borrowing capacity
- C) Reduce taxes
- D) Have no effect

5. Co-signing a mortgage means:

- A) A mere courtesy
- B) Becoming responsible for the debt
- C) Giving money
- D) Renting

6. The co-signing appears:

- A) Nowhere
- B) In your credit file
- C) On the house
- D) At the city

7. To protect yourself while helping, you must:

- A) Write nothing
- B) Document and consult a notary/accountant
- C) Pay cash
- D) Rely on your word

8. If the child buys as a couple, think about:

- A) Nothing
- B) What happens to the gift in the event of a separation
- C) Doubling the gift
- D) Hiding the help

9. Structuring the help is:

- A) A lack of trust
- B) Protecting the family relationship
- C) Pointless
- D) Illegal

10. The best form of help is:

- A) Always the gift
- B) The one chosen with full knowledge, in writing
- C) Always co-signing
- D) On a whim

Answer key

- 1. **B** — A gift letter (ch. 1).
- 2. **B** — Help without weakening yourself (ch. 1).
- 3. **B** — To be documented (ch. 2).
- 4. **B** — Impact on the financing (ch. 2).
- 5. **B** — A real commitment (ch. 3).
- 6. **B** — It affects your credit (ch. 3).
- 7. **B** — Structure the help (ch. 4).
- 8. **B** — Protect the sum given (ch. 4).

9. **B** — It protects the family (ch. 4).

10. **B** — Decide with full knowledge (ch. 5).

Signé PAR Em

*Thank you for reading. May this guide help you
decide with confidence, with all the information
in hand.*

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